

*Cyber* **World**  
*Leader*



**한국통신**  
**Korea Telecom**

**April 2000**



# TABLE OF CONTENTS

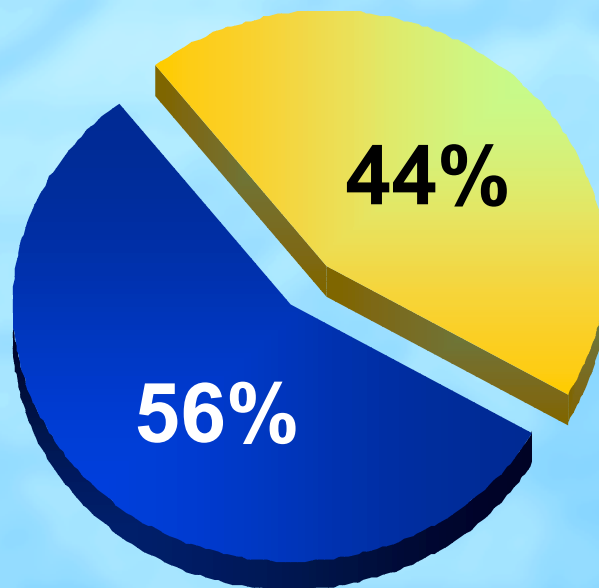
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- I. Overview
- II. Review of 1999
- III. Internet Business Sector
- IV. Wireless Business

## CHANGE IN BUSINESS STRUCTURE

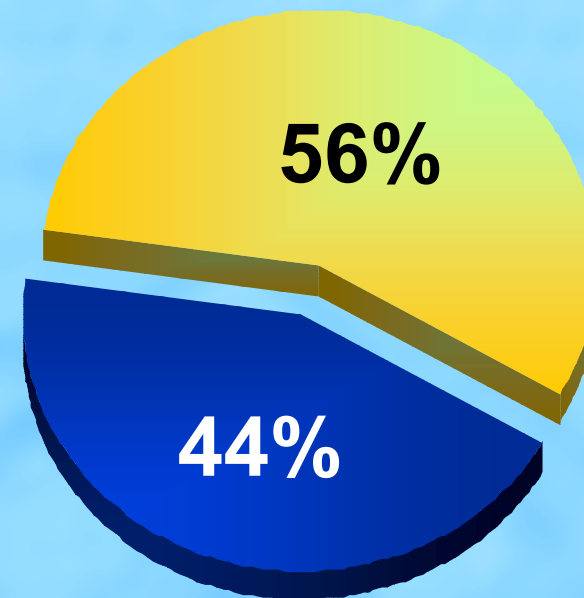
- From old to new: gearing up to new business

Year 1998



■ Fixed line business  
(Local, DLD, ILD)

Year 1999



■ High growth business  
(data, Internet, LM, others)



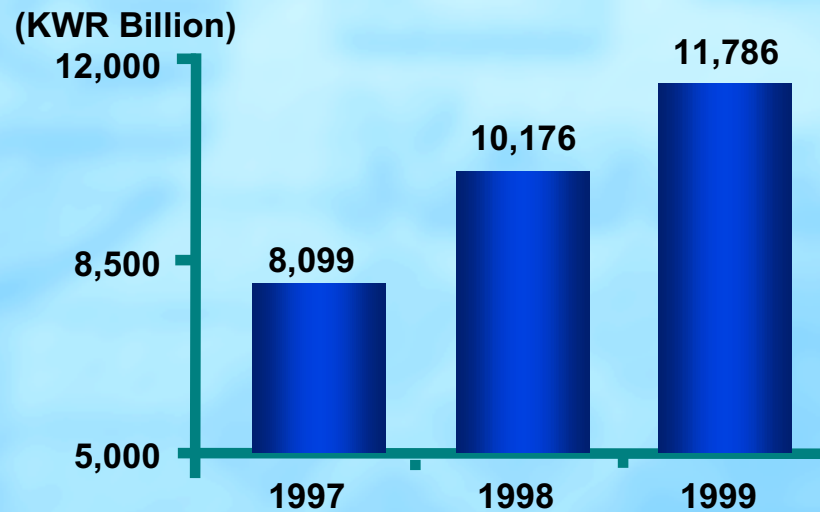
## II. REVIEW OF 1999

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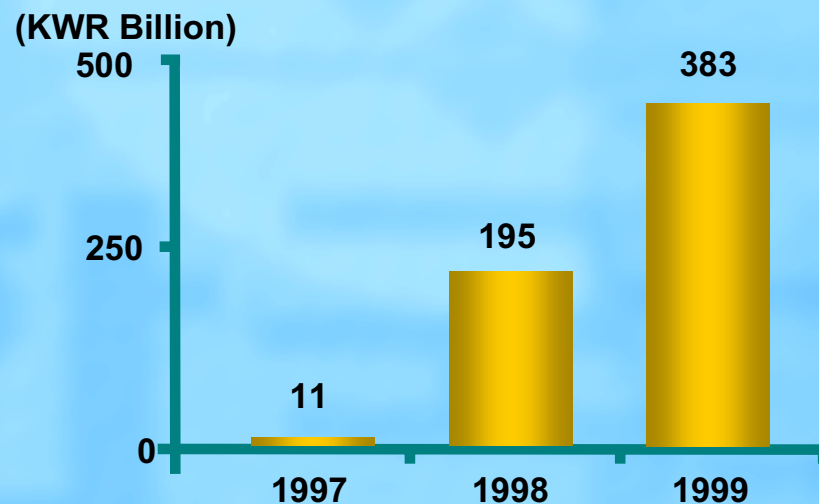
- Business Performances in 1999
- Year 1999: Results of Corporate Restructuring
- Improved Retirement Payment Scheme

## BUSINESS PERFORMANCES IN 1999

### ● Revenue



### ● Net income



- Hit by upfront restructuring cost
- However, year 2000 will benefit from restructuring
- Rapid growth in Internet, LM, data business

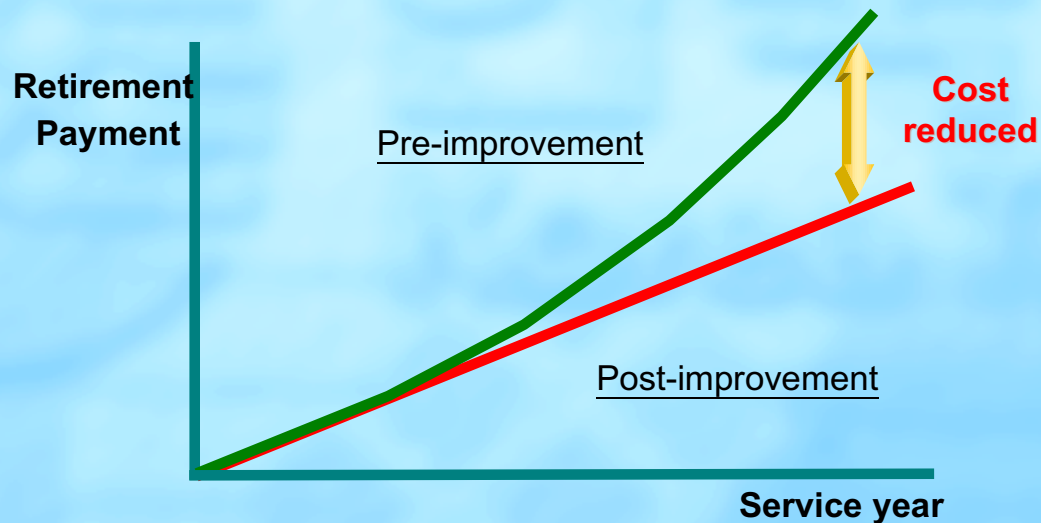
## **YEAR 1999: RESULTS OF CORPORATE RESTRUCTURING**

- Substantial restructuring accomplished

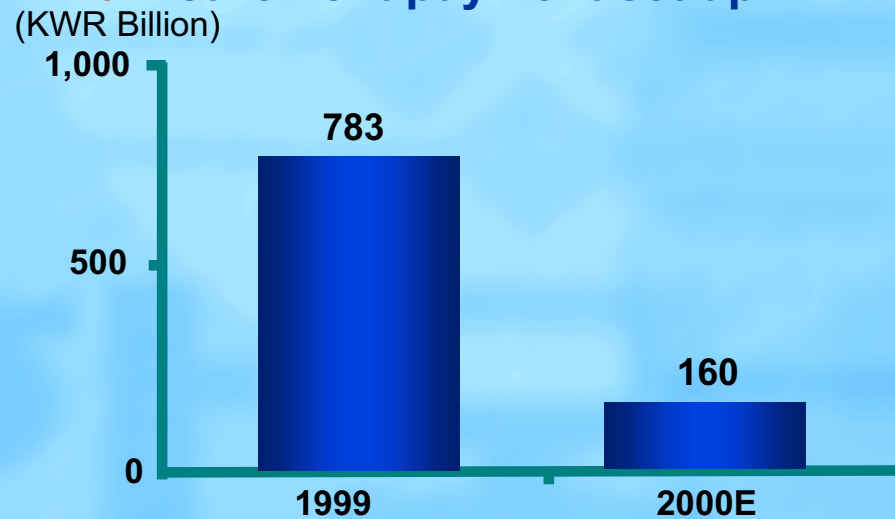
| <b>Sector</b>                                | <b>Result</b>                                                                  |
|----------------------------------------------|--------------------------------------------------------------------------------|
| <b>Employee reduction</b>                    | <b>1999 total employee number: 52,531<br/>(Reduction of 12,564 since 1997)</b> |
| <b>Disposal of non-profitable businesses</b> | <b>Closed 9 non-profitable businesses<br/>such as CT-2</b>                     |
| <b>Integration of Branch Offices</b>         | <b>Goal accomplished in June 99<br/>(From 260 to 91)</b>                       |
| <b>Reduction of subsidiaries</b>             | <b>Disposed of 3 subsidiaries &amp; ICO investment</b>                         |



## IMPROVED RETIREMENT PAYMENT SCHEME



### ● Retirement payment set up



Note: Unconsolidated figures

- Improved retirement payment scheme through agreement with labor union

- Cost in current year estimated to be reduced by approximately W 620 billion



### III. INTERNET BUSINESS SECTOR

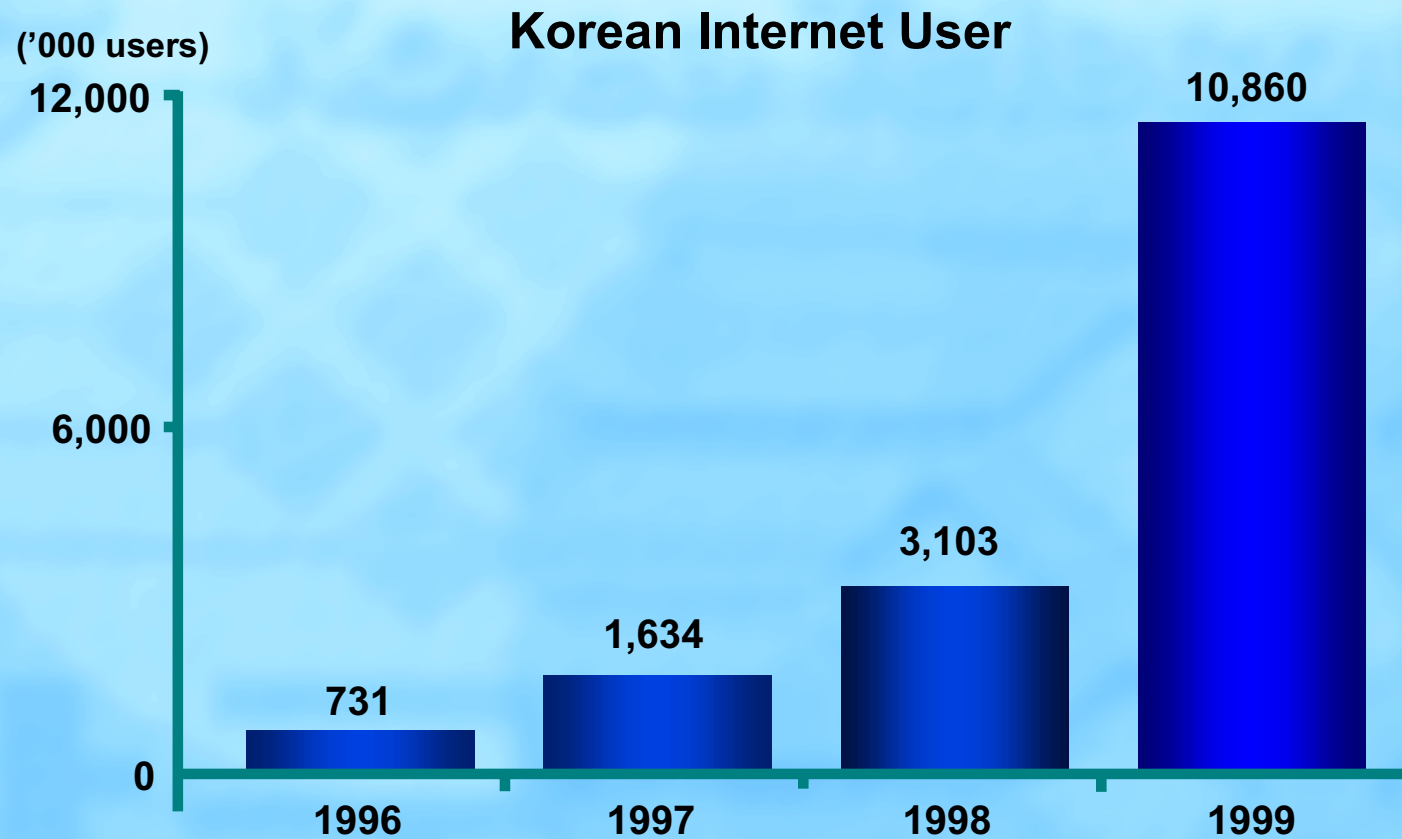
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- Rapidly Growing Korean Internet Market
- Korea's Leading Internet Operator
- Focus on Internet Capex
- Total Internet Solution
- Competitive Advantages of KT in Broadband
- ADSL: Broadband Internet Solution
- Application Business
- Contents Business
- KT Hitel



## RAPIDLY GROWING KOREAN INTERNET MARKET

- Users in excess of 10 million
- Expected to reach 20 million users in 2002



Source: KRNIC

## KOREA'S LEADING INTERNET OPERATOR

- Largest subscriber base and infrastructure in Korea

### Solid Subscriber Base

(Unit: thousand)

|                   |        |
|-------------------|--------|
| Fixed line        | 20,672 |
| KT Hitel (Online) | 1,980  |
| Kornet (ISP)      | 534    |

### Extensive Backbone Network

(As of end of 1999)

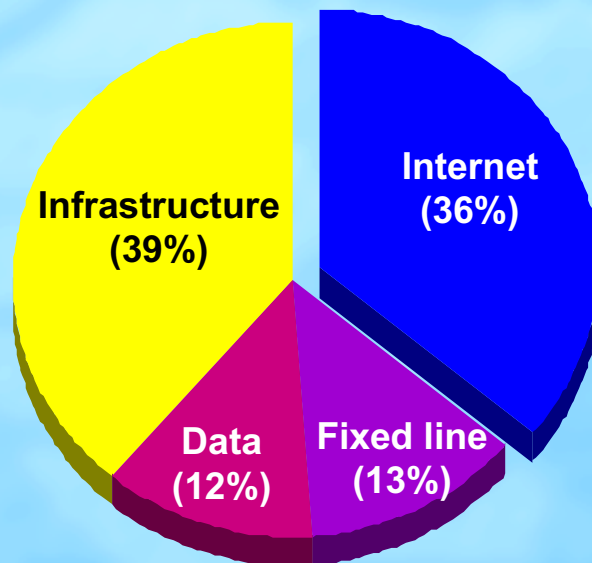
|                        |        |
|------------------------|--------|
| Fiber optic (Km)       | 71,468 |
| Submarine cable (Line) | 38,230 |
| Internet nodes         | 144    |

**Dominates Korea's Internet market**

## FOCUS ON INTERNET CAPEX

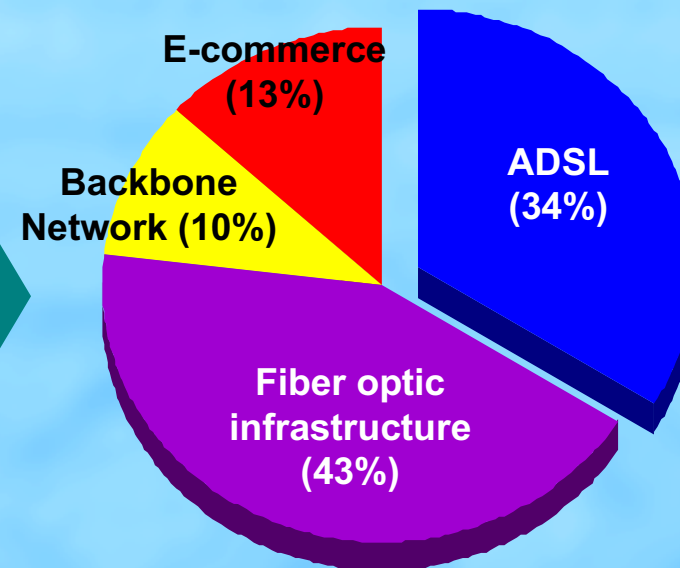
- Internet capex cover 36% of total capex

**Capex in 2000**



**Total Capex: KWR 3 trillion**

**Internet Capex**

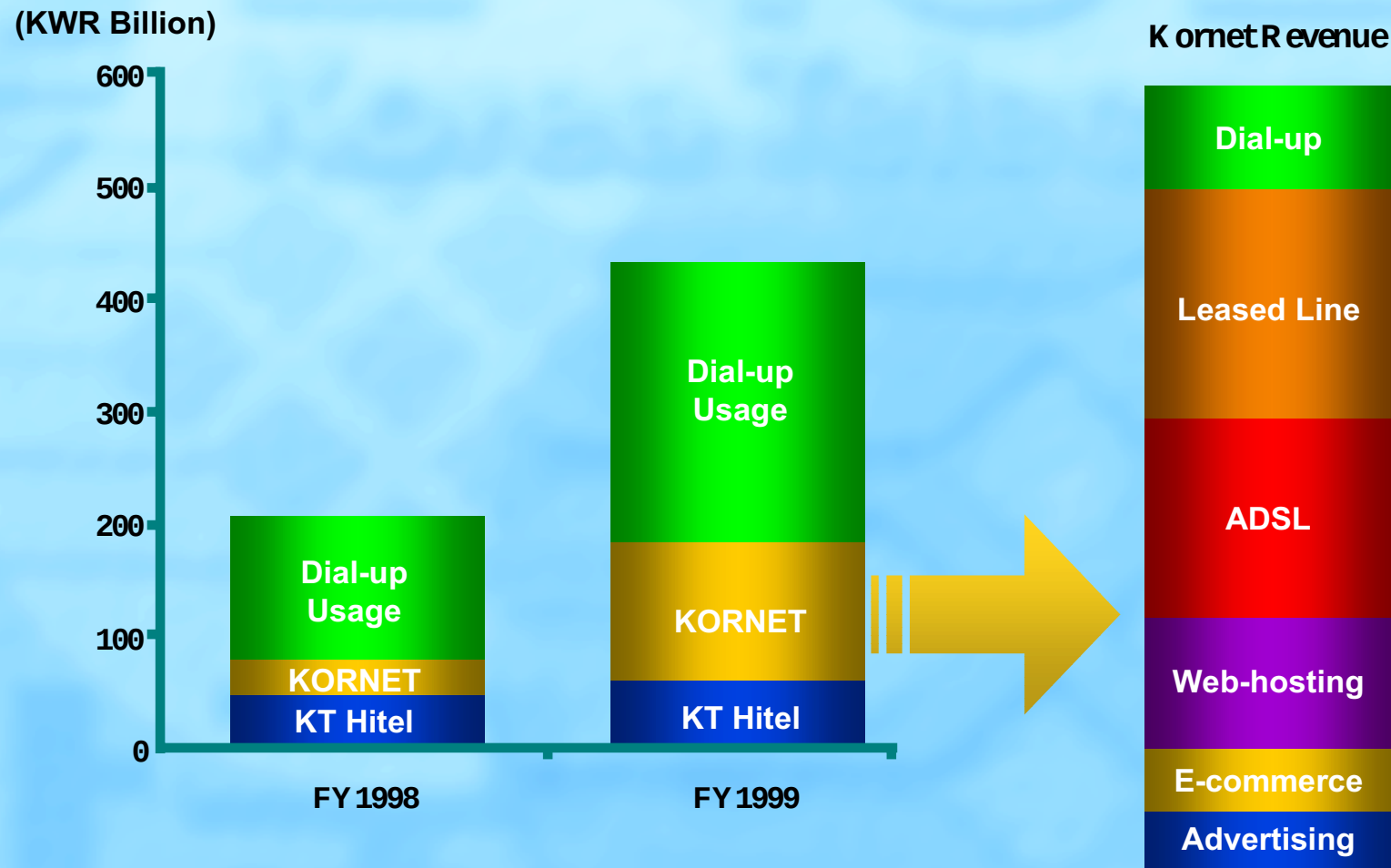


**Internet Capex: KWR 1.08 trillion**

**Note: Unconsolidated figures**

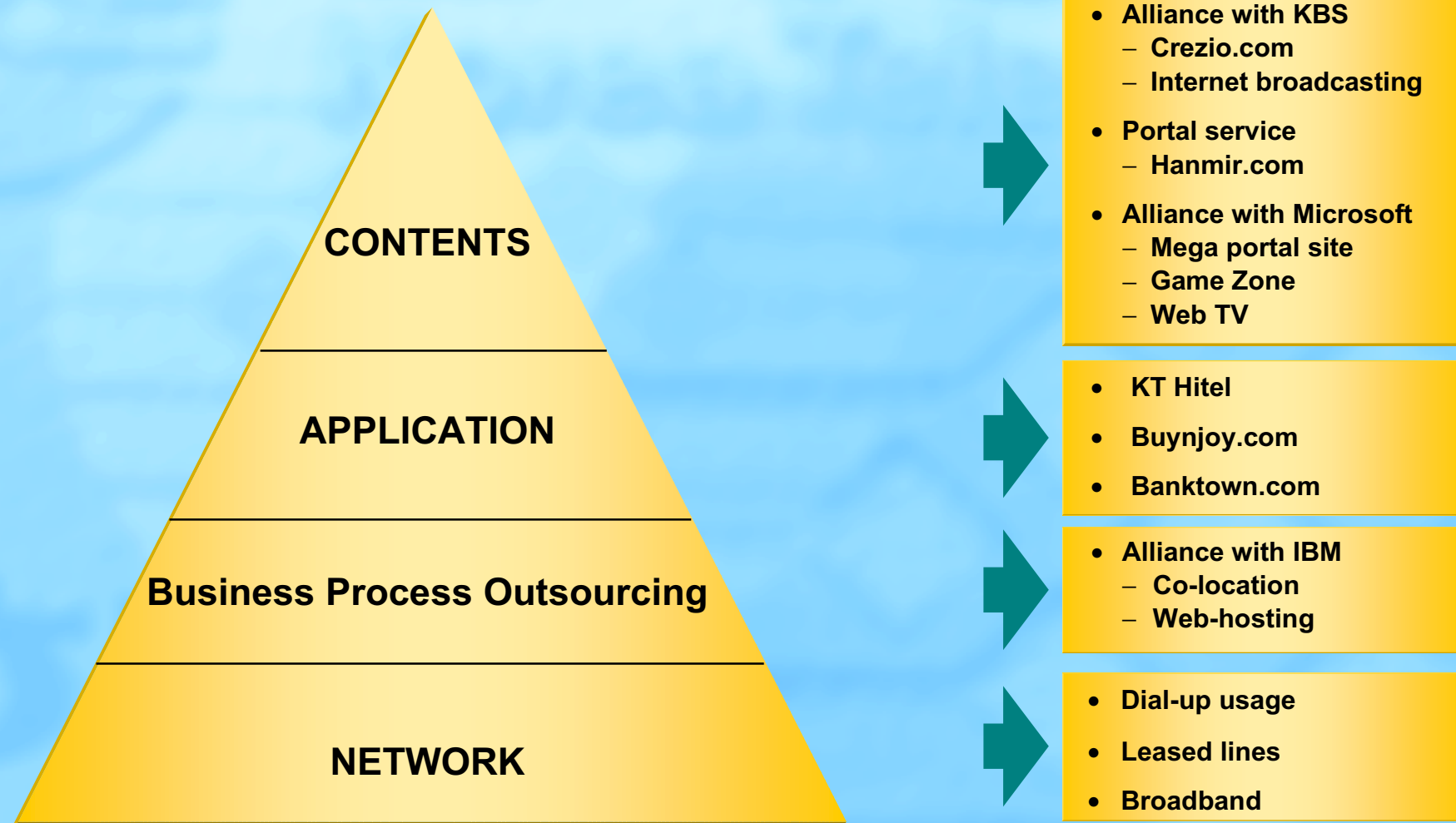
# INTERNET REVENUE COMPOSITION

- KT's Internet revenue is captured under Kornet



# TOTAL INTERNET SOLUTION

- KT provides Internet users with optimal solutions in all areas
- A leader in every level of Internet Value Chain



## **COMPETITIVE ADVANTAGES OF KT IN BROADBAND**

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### **ADSL over Cable**

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- **Limited rollout of cable network in Korea**
- **ADSL available to 90% of population without significant network rollout**
- **Telephone over 20 million home pass**
- **Cable: 6 million home pass including relay cable operators cable network**

### **KT over ADSL Competitor**

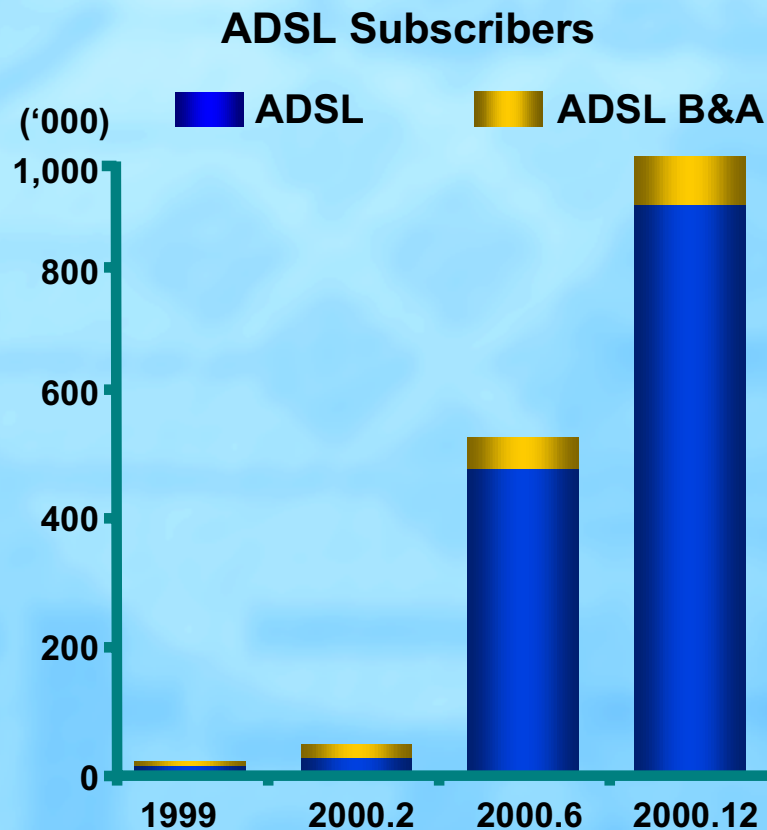
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- **Extensive network coverage providing 90% of population with ADSL service**
- **Current modem shortage will be solved by 1H00**



## ADSL: BROADBAND INTERNET SOLUTION

- Target: 1 million subscribers in 2000
- Specific plans to reduce backlog by end of first half 2000
- Expect 70% market share in broadband Internet access market by end of 2000



- As of March 31, 2000
  - ADSL: 97,467  
(Reservation: 286,864)
  - B&A: 64,240  
(Reservation: 56,452)
- Monthly target:
  - April: 145,000 lines
  - May : 400,000 lines
  - June: 580,000 lines
  - December: 1 million

## APPLICATION BUSINESS

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- Provide users with diversified Internet solution



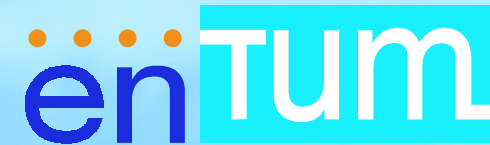
[www.buynjoy.com](http://www.buynjoy.com)

- Shopping mall  
(B2B, B2C)
- Opened in Feb. 2000
- Consolidated billing  
through user's phone  
bill



[www.banktown.com](http://www.banktown.com)

- Cyber bank
- Opened Nov. 1999
- Business alliance w/12  
banks such as H&CB,  
KEB, etc.



["e-business"](#)

- Co-Location
- Web Hosting
- Joint work with IBM
- ASP to SMEs

## CONTENTS BUSINESS

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- Focus on differentiation and strategic partnership



[www.hanmir.com](http://www.hanmir.com)

- Search engine portal site
- PV/day: 4.2 million
- Free telephone directory service through Internet
- Automatic Japanese translation service



[www.crezio.com](http://www.crezio.com)

- Broadband Content
- Internet broadcasting
- Alliance with KBS
- VOD
- Web-Casting

**Microsoft**

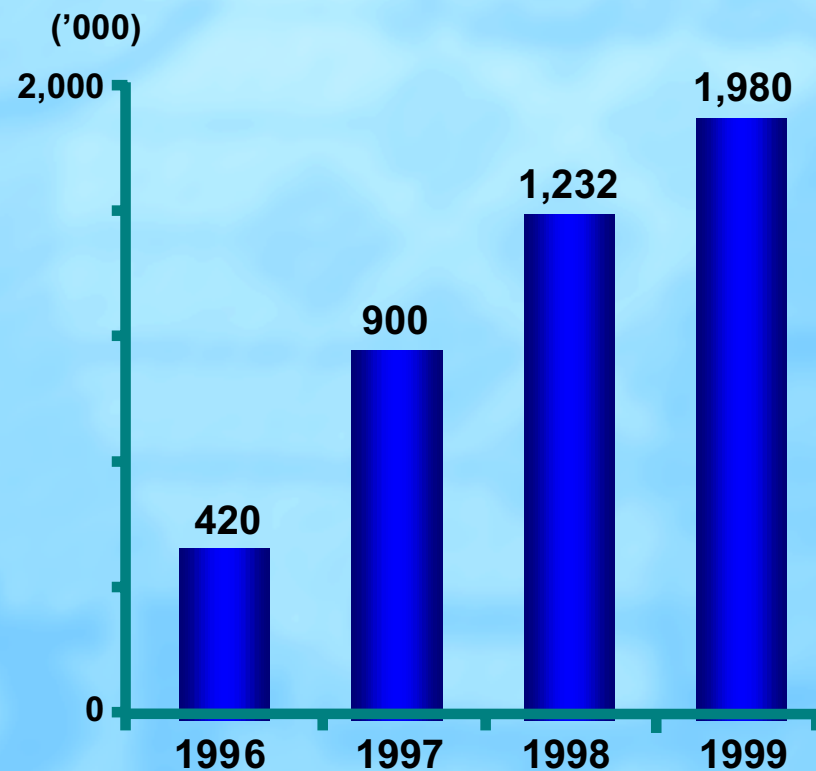
*"Mega Portal Site"*

- KT-Microsoft joint mega portal site
- Alliance with Microsoft
- Internet Game Zone
- Internet Web-TV

## KT HITEL

- Korea's leading online portal

**Hitel Subscribers**



- Explosive growth in net income: over W 61.3 billion in 1999, an increase of 24% over 1998
- Approx. 5,000 contents
  - Cyber classroom
  - Entertainment, cartoon service
  - Sports, game, etc.



## **IV. WIRELESS BUSINESS**

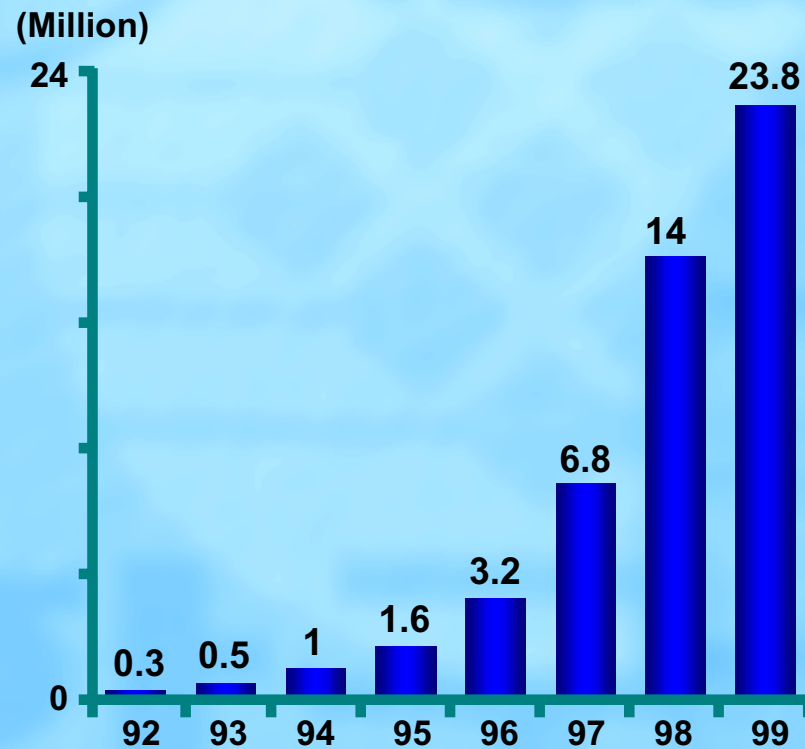
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- Increase in LM revenue
- KT Freetel

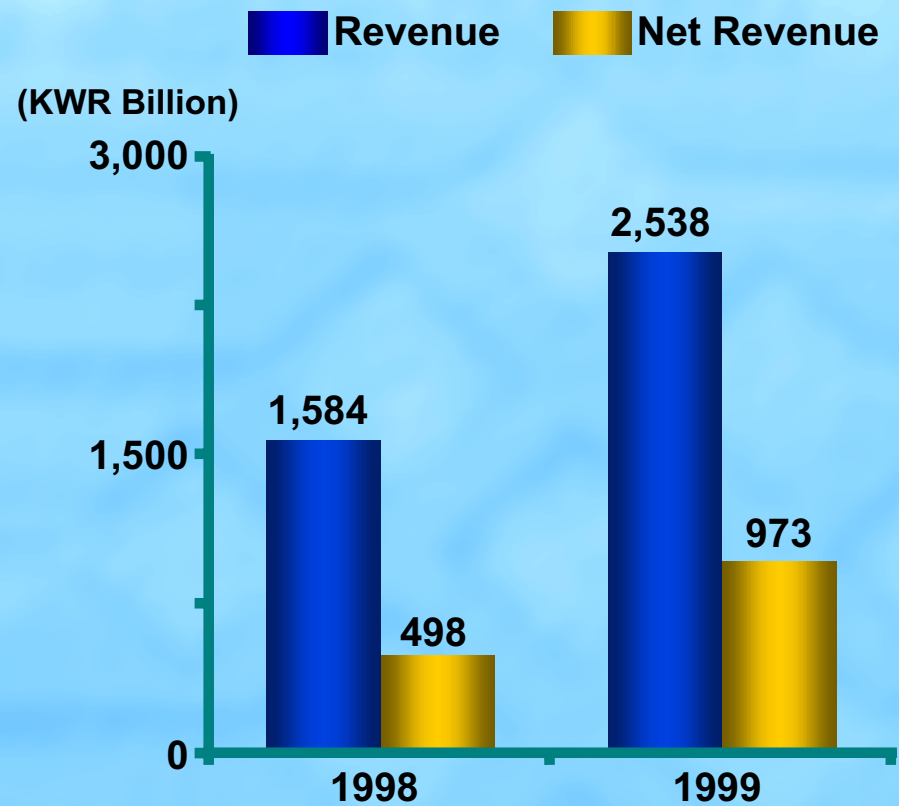
## INCREASE IN LM REVENUE

- Jumped 60% over prior period

### Korea's Wireless Subscribers



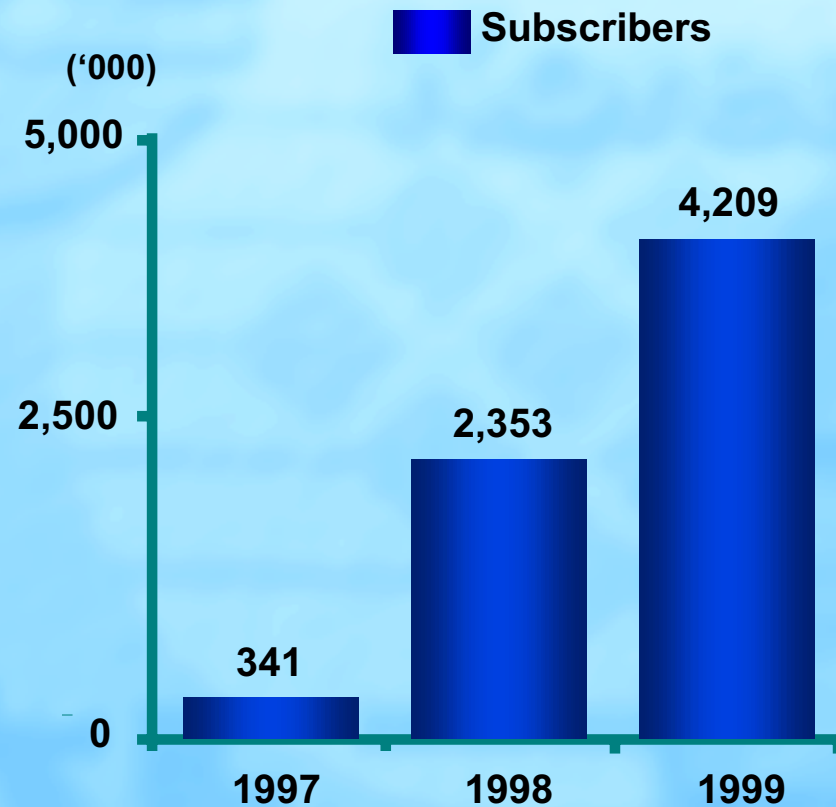
### LM Revenue (LM)





## KT FREETEL

- Positive net income in 2000



- Revenue
  - 1998 : 1.43 trillion
  - 1999 : 2.26 trillion
- Positive operating income in year 1999
- Expect positive net income in year 2000

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**THANK YOU**